Emiliano Rinaldi

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Education

London School of Economics 2021 – 2027 (expected)
MRes/PhD in Economics

Bocconi University 2017 – 2020
MSc in Economics and Social Sciences, 110 cum laude

Bocconi University 2014 – 2017
BSc in Economics, 110 cum laude

Research Fields

Primary	Urban Economics, Environmental Economics
Secondary	Development Economics

References

Daniel Sturm
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Gharad Bryan
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Robin Burgess
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Job Market Paper

Rebalancing Water? Evidence from Day Zero in Cape Town
with Pol Simpson

Funding: IGC SPF (£22,750); Weiss Fund ($7,200); Sticerd (£5,000)

Abstract: During a drought, a city must allocate a large reduction in water between households and the firms that employ them. A single scarcity price across all users allocates water efficiently if each user's willingness to pay matches the social marginal value of their water consumption. This may fail if either households or firms face distortions in their ability to adjust. We study Cape Town's 2016-2018 drought, when water prices rose sharply for households and firms. Using detailed water meter and tax data, we find important differences in adjustment margins. Household conservation was privately costly but created no externality as consumption remained above basic health and sanitation levels. The evidence shows that firm water demand was inelastic, and they faced labour and credit market distortions in their adjustment, leading to inefficient exit and unemployment. To identify inefficient exit and recover the social marginal value of water for each user we build and estimate a dynamic model of the city. We find that at the chosen allocation of the city, the social marginal value of water was 11 times higher in firms than households. If the city had used efficient corrective prices, placing a much larger share of water conservation on households, it could have reduced the drought's welfare cost by 52 percent.

Working Papers

Who Benefits from Local Public Spending? House Prices and Mobility in London

Abstract: The level of local public spending is a key input in local services, the quality of which can be capitalised into local house prices. I study London, where borough councils provide local services inside a common housing and labour market and where borough-tied housing and support hold a large share of residents in place. Using the 2010 reform to borough funding, I compare quality-adjusted house-price changes for homes near the same borough boundary but exposed to different spending shocks. I find that a 1 percent increase in borough spending raises house prices by 0.092 percent. I use this estimate to inform the parameters of a quantitative spatial model in which local government spending funds local public goods. I then use model counterfactuals to evaluate the welfare effects of the major funding changes under the announced Fair Funding Review reforms. Under full residential mobility, average welfare effects are small. With limited mobility, welfare differs by starting borough, as local price changes only partly offset the change in welfare from the local spending shock. For a resident who cannot move, about 70 percent of her borough's funding change remains after prices adjust.

Work in Progress

Climate Security and Informal Settlements: Evidence from Sierra Leone
with Gharad Bryan, Abou Bakarr Kamara, and Nick Tsivanidis

Funding: IGC (£150,000); STEG (£145,000); GSoS (£99,043); STICERD (£5,000); OPEC Fund (US$105,000); GiveWell (US$66,000); J-PAL K-CAI (US$27,896); Weiss Fund (US$11,340)

Productivity and the Grid: The Welfare Cost of Spatially Unequal Electricity in Accra

Funding: IGC SPF (£11,500); STEG PhD (£11,550)

Abstract: Electricity supply in Accra is spatially unequal and unreliable. The central business district enjoys near-perfect reliability, while peripheral neighbourhoods face frequent and unpredictable outages. This targeting creates a tradeoff. Outages are costly for firms and workers in peripheral locations, and deter entry. At the same time, concentrating outages keeps a few central locations reliable, and these pockets of reliability help sustain the clustering of firms and productive agglomeration. Spreading outages evenly would lower the cost of entry for firms, who no longer have to compete for expensive floorspace in the reliable core, but weaken agglomeration. I build and estimate a quantitative spatial equilibrium model in which electricity is a constrained production input and firm entry is dynamic. Forward-looking firms choose where to locate based on the supply they expect each neighbourhood to receive in the future. I use detailed feeder-level outage data from the Electricity Company of Ghana, combined with Business Census data, to measure whether the current concentration of outages raises or lowers welfare relative to randomly allocated outages across space.

Planning and Housing Supply
with Felix Iglhaut

Conference Presentations

2026	NBER Summer Institute (Urban); Urban Economics Association Annual Meeting; Environment Week; LSE Environment Camp; Queen Mary PhD Conference
2025	Urban Economics Association Annual Meeting; Collegio Carlo Alberto PhD Conference

Teaching

Undergraduate	Microeconomics; Macroeconomics; Development Economics; International Economics
Master's	Development Economics
Executive	Introduction to Statistics; Introduction to Public Policy; Empirical Methods for Public Policy; Global Market Economics (Executive MPA/MPP)
Awards	Class Teacher Award (Department of Economics, 2025); Highly Commended (School of Public Policy, 2025); Highly Commended (Department of Economics, 2023)

Professional Service

Referee: Journal of Urban Economics
Organising Committee: LSE Environment Week (2024 – 2026); LSE Environment Camp (2024 – 2026)

Experience

Research Assistant Profs Gilat Levy & Ronny Razin, Prof Guido Tabellini, Prof Massimo Morelli

Additional Information

Fellowships	LSE PhD Scholarship (2021 – 2027)
Languages	Italian (native), English (fluent), French (intermediate)
Programming	R, Python, Stata, MATLAB